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18

ECONOMIC SURVEYS BY THE OECD

NORWAY

I . 2 . B . 2.

JULY 1963

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS

NORWAY

BASIC STATISTICS

THE LAND

Area (1,000 sq.km.)	324
Arable area (1,000 sq.km.)	10
Productive forest	70
Major cities (January 1961):	
Oslo	477,100
Bergen	115,700

THE PEOPLE

Population (Dec. 1962)	3,655.000
No. of inhabitants per sq.km.	11
Net natural increase annual rate (average 1958-62)	29,600
— per 1,000 inhabitants (average 1958-62)	8.1
Labour force total	1,515.000
of which, in agriculture, forestry and fishing	330,000
Net annual migration (average 1957-61)	— 1,975

PRODUCTION

Gross National Product in 1962 (millions of Kr.)	37,000
G.N.P. per head (U.S. $)	1,420
Gross fixed capital formation (1962)	
— percentage of the G.N.P.	30
— per head U.S. $	426

THE GOVERNMENT

Public consumption in 1962 (percentage of G.N.P.)	15
General government current revenue in 1962 (percentage of G.N.P.)	36
Public gross fixed capital formation in 1962 (percentage of G.N.P.)	4
Public debt in 1961 (ratio to general government current revenue)	71

Composition of Parliament (No. of seats):

Labour Party	74
Conservative Party	29
Centre (Agrarian) Party	16
Liberal Party	14
Christian Democrats	15
Left-wing Socialist Party	2
	150

Last general election = 1961
Next general election = 1965

LIVING STANDARDS

Average hourly earnings of male industrial workers in 1962 (in kroner)	7,57
No. of passenger cars in use per 1,000 inhabitants (Dec. 1962)	87
No. of telephones per 1,000 inhabitants (1960)	202
No. of radio sets per 1,000 inhabitants (1962)	357
No. of television sets per 1,000 inhabitants (Jan. 1962)	30

FOREIGN TRADE

Exports:

Exports of goods and services as a percentage of G.N.P. (average 1958-62)	42
Main exports in 1962 (percentage of total commodity exports):	
Base metals and products thereof	28
Forestry products	17
Fish and fish products	12
Machinery, apparatus and transport equipment (excl. ships)	8

Imports:

Imports of goods and services as a percentage of G.N.P. (average 1958-62)	45
Main imports in 1962 (percentage of total commodity imports):	
Ships (average 1958-62)	18
Machinery, apparatus and transport equipment (excl. ships)	22
Raw materials (non-edible) incl. fuels and chemicals	26
Base metals and products thereof	15

THE CURRENCY

Monetary Unit: Krone.

Currency unit per U.S. $: 7.14

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ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the O.E.C.D. shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the O.E.C.D., which came into being on 30th September 1961.

The Members of O.E.C.D. are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

This document was approved
by the Economic and Development Review Committee
in July 1963.

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NORWAY

1. Planning is a central feature of Norwegian economic policy. The present survey discusses the nature of the plans, both long-term and short-term (Part I) and the kinds of policy instruments developed by the authorities to put those plans into effect (Part II). Part III considers the use the Government has made of those instruments to deal with the main economic problems facing Norway in the last few years, paying particular attention to the steps taken to influence the volume and distribution of investment, and to reduce the size of cyclical movements.

I. ECONOMIC PLANNING

2. National economic planning in Norway dates back to the early post-war years. Annual national budgets or economic surveys have been prepared since 1946, and long-term plans since 1947; since 1954 the long-term plans have covered the parliamentary four-year periods. Both the national budget and the long-term plan are the responsibility of the Government; they are submitted to the Storting and constitute the main basis for discussions on economic policy.

A. The National Budget

3. The national budget is prepared by the Ministry of Finance. It is submitted to the Storting in October together with the Government's fiscal budget for the coming calendar year. A progress report on the national budget is prepared six months later when preliminary account data for the previous year are available and economic trends for the budget year have become clearer. Revised estimates are prepared at least twice a year — on the basis of developments in the first quarter and the first half of the year.

4. The national budget gives an assessment of the short-term economic outlook and the policy measures that are required; it gives forecasts for the coming year for activity and employment in the economy as a whole and in major production sectors; it gives estimates for private and public demand for consumption and investment

goods; and it discusses the main short-term policy problems, such as those relating to the movements of prices, costs, and the balance of payments.

B. Long-term Planning

The Nature of the Plan

5. With the dismantling of most direct regulations, the nature of economic planning has changed from fairly detailed programming in the early post-war years to the elaboration of targets for broader economic aggregates in recent years. Nevertheless, the policy content of the Norwegian long-term plan remains important; in particular, both the level and the composition of investment — two central features of any economic plan — are strongly influenced by economic policy.

6. In addition to the authorities' own fixed asset formation, Government policy has a strong influence on capital formation, notably in residential construction, agriculture and fisheries. Furthermore, practically all investment in hydro-electrical power plants is undertaken by either the central or local authorities. In the electro-chemical and electro-metallurgical industries, which have expanded particularly fast, the size of individual projects is normally so large in relation to the domestic economy that expansion necessarily becomes a matter for cooperation between industry and the authorities; even more so because these industries are very energy-intensive and since the authorities are responsible for the development of hydro-electric power plants. This cooperation clearly facilitates the task of long-term planning.

7. The plan is based on programmes and forecasts prepared by the various ministries in consultation with private industry. The coordination of sector plans and forecasts into an integrated perspective for the economy as a whole provides the occasion for decisions on priorities and how the objectives are to be achieved. The central planning agency is in the Ministry of Finance.

8. Regional planning offices have been established in all the 18 rural counties; they have prepared economic analyses of each county, acted as consultants for the County Councils, and contributed with studies for the long-term plans.

9. So far, each long-term programme has been prepared by a secretariat specially set up for the occasion. Experience has shown, however, a need for greater continuity in long-term planning. A permanent secretariat for long-term planning is now being established inside the Ministry of Finance, and the planning administration in some other ministries and at the local level is also being strengthened. To increase cooperation between the authorities and the private

sector, the establishment of a Council for Economic Planning consisting of representatives from the authorities, industry, labour, and research institutions, is under consideration.

Targets for 1962-1965

10. On the assumption of a steady expansion in world trade, the plan envisages an increase in the real gross national product of 4 per cent a year. This is rather more than the rate achieved in the 1950's, mainly because of a somewhat faster growth in the labour force; output per employed person is expected to increase at about the same rate as in the past decade — about 3.5 per cent.

TABLE 1. GROSS NATIONAL PRODUCT AND EXPENDITURE[1]

1960 *prices.*

	1961	1965	AVERAGE ANNUAL INCREASE
	Million Kroner		*Per cent*
Gross national product	37,320	43,700	4.0
Consumption	24,470	28,300	3.7
of which:			
Private consumption	20,230	23,300	3.6
Public consumption	4,240	5,000	4.0
Gross saving	12,850	15,400	4.6
of which:			
Gross investment	13,800	15,300	2.6
Net export	—950	100	..

1. According to Norwegian national account definitions.

Source: The Norwegian Long-Term Programme 1962-1965.

11. The plan aims at maintaining a high rate of investment, with particularly sharp increases in fixed asset formation in hydro-electric energy, manufacturing, and the public sector. The capacity of the power plants will increase by about 40 per cent between 1960 and 1965. There will be a further strong expansion of the base metal industries; output of aluminium, for example, is expected to rise from 186,000 tons in 1960 to 300,000 tons in 1965, with an estimated doubling of exports. The rise in public investment will mainly concern road construction and schools; the plan gives high priority to education and research. Total gross investment (excluding ships) is expected to rise by about 5 per cent a year. Investment in ships is thought likely to remain high, but to rise less fast.

12. The investment target will require a continued high rate of savings, with the maintenance of a large surplus on Government current account. Apart from some adjustment of tax rates for the lower income brackets, the level and structure of taxation will therefore not be changed much. The plan is also based on some import of foreign capital to help finance the investment programme; it is assumed that it will be possible to obtain a net inflow of about N.kr. 2 billion, representing a little more than 1 per cent of GNP a year. Relatively large current deficits in the first 1 1/2 years of the programme period suggest that the deficit for the period as a whole may be higher than estimated.

13. The plan clearly involves a number of economic policy problems, given the various targets it has set for the economy. The authorities assume that policies can be based very largely on the instruments that existed at the beginning of the planning period. The next section discusses the budgetary, monetary and other means which the authorities are using.

II. ECONOMIC POLICY INSTRUMENTS

A. The Government Budget

14. The government budget is considered as one of the most important policy instruments at the disposal of the authorities, with regard both to growth and short-term demand management. Budgetary policy is not hampered by pre-conceived ideas about the balance of the budget on the part of either the authorities or the public. But in Norway, as in other countries, prompt adjustment of fiscal policy to the needs of the economy involves a number of practical difficulties.

15. The size and the structure of the budget are of course the result of longer-term considerations. The role of the Government in the economy is decisive for the size of the budget, and the structure of both taxation and expenditure is strongly influenced by social policy. In Norway the budget has also been used to influence the level of national savings and, thereby, the allocation of resources between consumption and investment. Throughout the post-war period, with a relatively high rate of taxation, the public sector has accounted for about half of total savings.

16. But the authorities feel that changes in taxation have their limitations as instruments of anti-cyclical policy. At the time of an international recession, with a decline in exports and higher unemployment, a tax cut is useful insofar as it will tend to increase home demand. But the immediate effect of lower taxes is to increase the real disposable income of the individual consumer and producer.

If the level of employment is thereby being maintained, the levels of private disposable income, consumption and imports will be higher than earlier, while the recession has led to a deterioration of the balance of payments. It is therefore felt that, in general, budgetary action to stimulate activity should be based on measures whose primary effect is to increase employment (or the number of income earners) rather than on a tax cut whose primary effect is to increase the disposable income of those who are employed. The appropriate measures would therefore largely consist of an increase in public investment expenditure and steps to stimulate private investment demand; this would also enable the authorities to stimulate activity in the areas hit by employment difficulties.

Investment Reserves

17. Different types of investment reserves have been applied during the 1950's; in 1962 a new investment reserve scheme, designed to influence the timing of business investment, was introduced. Companies are permitted to set aside, on a tax-free basis, up to 20 per cent of their annual income as an investment reserve. The reserve has to be blocked at the Central Bank for a period not exceeding 4 years, carrying a 2 per cent tax free interest. But the reserves can be released at an earlier date if the authorities so decide. When released and used for investment, 15 per cent of the de-blocked funds are definitely free of tax, while the remaining 85 per cent has to be used to write off the required fixed assets.

18. While the investment funds are being built up, a restrictive effect is obtained since the whole amount, and not only the immediate tax savings, has to be blocked at the Central Bank. The release of reserves probably leads to an increase in capital formation, although some of the investment might have been undertaken even if no release were made. There is, however, little experience so far as to how the scheme will work in practice; at present the investment reserves amount to only about N.Kr. 55 million. The authorities may suspend permission to set aside investment reserves when the restrictive effect of such blockings at the Central Bank is not desired.

Investment Expenditure

19. The labour market authorities are required to have a stock of investment projects which can be started at short notice. In practice, however, with public investment expenditure growing fast, it has been difficult to maintain any very considerable stock of such projects. It is therefore felt that an extraordinary increase of public investment expenditure in a recession would at present largely have to be achieved by an acceleration of projects already under construction, but efforts are being made to strengthen the government agencies dealing with investment planning.

B. The Instruments of Credit Policy

The State Banks

20. In addition to the postal savings bank, there are eight other state banks. They are an important source of finance for a number of sectors, particularly residential construction, agriculture and fisheries, and they also supply credits for the financing of industrial and municipal investment, and education. Thus the state banks constitute an important instrument for influencing the composition of investment.

21. The state banks' lending activities are regulated through annual commitment budgets, which are fixed for each individual bank in the national budget. Since each bank is highly specialised in the sense that it provides finance only for one sector — residential construction, or agriculture, or fisheries, etc. — the ceiling on each bank's lending clearly affects the composition of investment. In 1962, to achieve a higher degree of short-term flexibility, part of the state bank commitment budgets were kept in reserve for use only if a rapid increase in demand was deemed desirable.

22. Originally the state banks were supposed to finance their operations by the issue of their own bonds in the capital market. But since the early 1950's, the Government has financed the greater part of their lending activities from its own financial savings, and by borrowing from the capital market, private credit institutions, and the postal savings bank.

The Credit Agreements

23. Since the middle of the 1950's a system of agreements between the authorities and the credit institutions has been developed as an important weapon of credit policy. These agreements have been reached after discussions between representatives from the private credit institutions and the authorities in the Joint Consultation Council. The agreements aim at regulating the lending activities of the main private credit institutions (savings banks, commercial banks and life insurance companies). Borrowing in the bond market (other than by the Government) requires permission from the authorities and the volume of new issues is also taken up for consideration in connection with the credit agreements. The agreements have usually contained the following provisions:

a) Ceilings on bank credit;

b) Ratios prescribing the proportion of the increase in savings banks deposits to be used for the purchase of bonds issued or guaranteed by the Government, and regulations of the commercial banks' holdings of such bonds.

c) The amount of new Government bonds to be bought by the life insurance companies;

d) Recommendations relating to the purchase by the credit institutions of other bonds;
e) Priorities to be observed by the banks in their lending activities;
f) Recommendations relating to interest rates.

The Interest Regulation Act

24. According to provisions in the Interest Regulation Act of 1953 bearer bonds can not be issued without consent from the Department of Finance. Although this act was originally passed in order to give the authorities the power to regulate interest levels, it has become of major importance as an instrument for securing the financing of high priority investment projects.

C. Building Controls

25. Up to 1957 practically all building activity was covered by direct controls. Since then a gradual relaxation, exempting residential construction and buildings for agriculture, forestry and fisheries from the regulation has taken place. The control of building activity is used not only to regulate the total volume of construction, but also to influence the seasonal pattern and the location of investment activity.

D. Incomes Policy

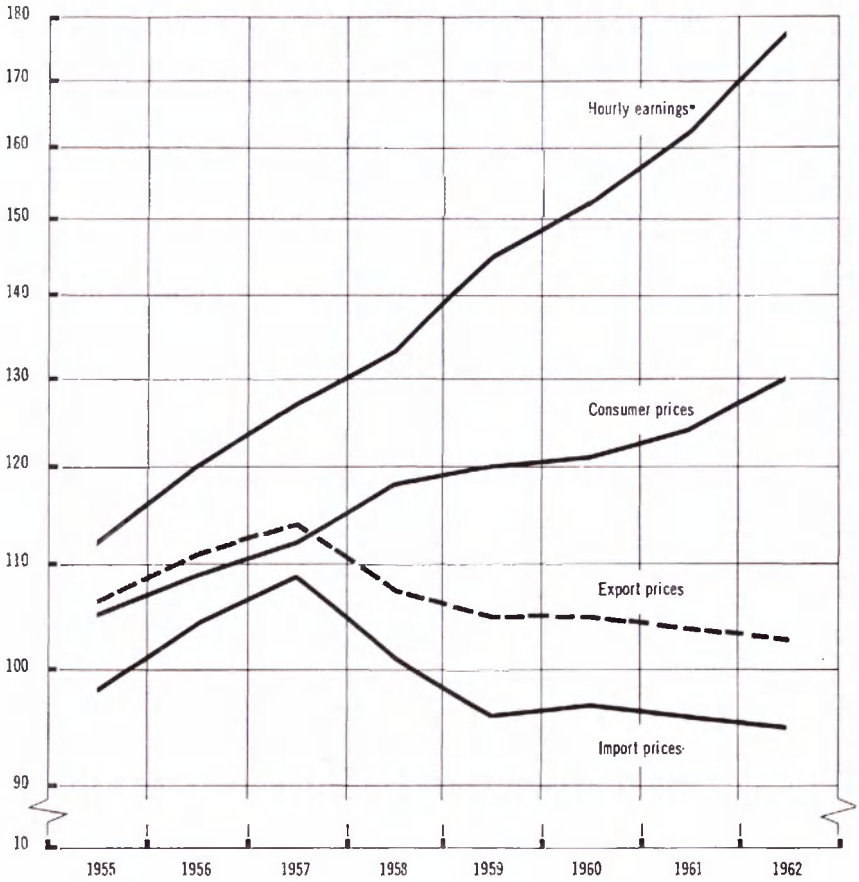
26. The authorities have wide powers to regulate prices and profit margins and to intervene in restrictive business practices. At the beginning of each year the Government submits a report to the Parliament on the guiding principles it intends to follow. The extent to which price control has been used has varied with the situations; in 1962 about 70 per cent (by value) of the goods and services covered by the cost of living index were subject to various types of price control.

27. Government subsidies are used for three purposes:

a) to transfer income to the farmers;
b) to lower food prices for social reasons;
c) to influence price developments when this seems appropriate from the point of view of the general price-wage situation.

28. Wage negotiations are already centralised in large groups of wage earners. Nevertheless, the authorities feel that better coordination of wages and other income settlements would help to bring the movement of money incomes more into line with productivity trends. The long-term programme for 1962-1965 suggests that it should be possible to develop better methods for solving the problems relating to the distribution of income, and points to the need for cooperation between all parties concerned to ensure that the bargaining process pays due attention to the state of the economy.

Diagram 1. PRICES AND WAGES
(Index 1953 = 100)



* In industry.

Source: O.E.C.D. Statistical Bulletin.

29. Over the past year, considerable progress in this direction has been made. In September 1962, well before the expiration in 1963 of most wage contracts and the agreement on farm prices, an unofficial committee was established consisting of the Prime Minister, the Minister of Finance, the Minister of Prices and Wages, and representatives from the trade unions, the employers' associations and the farmers' organisations. The committee has held seven meetings, the purpose of which was to keep the various organisations informed of the economic situation and provide their representatives

with an occasion for discussions before the individual parties had fixed their strategy for the wage and incomes negotiations. In later meetings the parties kept each other informed of the development of their own wage negotiations and of the negotiations between the authorities and the farmers.

30. This appears to have helped to achieve a coordinated settlement of wages, salaries and farmers' incomes, which should be compatible with reasonable price stability. The wage negotiations, following official mediation, resulted in a one-year agreement providing for an average increase of 2.5 per cent. The settlement was approved by a majority vote of 75 per cent in a referendum among trade union members; the vote taken among the employers gave a similar result. The settlement on agricultural prices was based on a relative increase in farmers' incomes similar to the negotiated increase in wages and salaries. Both settlements were based on the assumption that the Government would contribute to the stabilisation of prices through the remainder of the year by increasing consumers' subsidies by an amount of Kr. 115-150 million, representing about 2 per cent of central government expenditure.

E. Labour Market Policy

31. The shortage of manpower has been followed by a number of steps to increase labour mobility. The local labour exchanges have been integrated into a uniform system covering the whole country, and their administration has been made more efficient by the establishment of larger regional offices. Vocational training has been extended with special courses for unemployed or underemployed; new centres for adult training have been established and are expanding rapidly.

32. The geographical mobility of the labour force is being encouraged by granting travel and removal assistance, and family and starting allowances. Areas where there is a shortage of labour are given priority with respect to residential construction.

III. THE USE OF POLICY INSTRUMENTS

33. A central feature of Norwegian economic policy has been the emphasis given to investment, and some of the major problems which economic policy has been called upon to solve have been related to the high rate of capital formation. At the same time the authorities in Norway, as in most other countries, have been faced with important short-term stabilisation problems. This part surveys the use made of both investment policy and stabilisation policy in recent years.

A. Investment Policy

34. Four main areas of investment policy may be distinguished:

a) the size of the investment programme;

b) its financing;

c) the composition of investment;

d) its location.

The Level of Investment

35. Over most of the post-war period, gross fixed asset formation has been higher in Norway than in most other Member countries. In the 1950's 30 per cent of the gross national product was devoted to real capital formation; the average rate for European Member countries combined was about 20 per cent. The maintenance of a high rate of investment is an important feature of the 1962-1965 long-term programme.

36. There can be little doubt that economic policy has had a strong influence on investment demand. But it is interesting to note that the strong investment demand prevailing throughout the post-war period can be ascribed to a generally expansionary economic policy, with steady expansion and strong pressure on resources, rather than to any individual measure to encourage it. Indeed, during most of the period a number of measures (including building and credit controls) have been applied to keep investment demand within the limits of existing resources.

The Financing of Investment

37. An important objective of economic policy has been to achieve a high rate of savings to provide room for real capital formation, and the rate of savings has been higher than in most other countries. In the 1950's total gross savings amounted to 27.4 per cent of GNP in Norway and to 20 per cent in European Member countries combined. The essential elements in this policy have been heavy taxation and high public saving. The Norwegian authorities consider an even

Table 2. THE COMPOSITION OF SAVINGS

Per cent.

	1950-55	1956-60	1961-62
General Government savings	40.6	46.4	52.5
Private savings	59.4	53.6	47.5
Total	100.0	100.0	100.0

Source: Norwegian submission to O.E.C.D.

distribution of income an important policy objective even if it should have an adverse effect on private savings, as this could be offset by higher Government savings; Government savings have in fact been kept on a very high level.

38. It has also been a deliberate policy objective to supplement domestic savings by foreign borrowing. The private sector has been encouraged to seek long-term financing abroad, and the authorities have raised loans from the International Bank for Reconstruction and Development as well as in foreign capital markets. The result has been that over most of the post-war period the current account of the balance of payments has been in deficit. In the 1950's, the capital import thus achieved represented about 10 per cent of net fixed capital formation.

39. The achievement of the high rates of investment and savings has entailed a restrictive fiscal policy and an expansionary credit policy. The Government's current receipts have been sufficient to finance not only its own current and fixed investment expenditure, but also a substantial amount of lending for investment purposes, largely through the State Banks. This, together with private borrowing from abroad has resulted in a net supply of capital to the private sector, and private investment has exceeded private savings by a substantial amount; in the 1950's the net capital supply to the private sector from the domestic banking system, the Government and external sources, represented 25 per cent of private gross investment.

TABLE 3. THE FINANCING OF PRIVATE GROSS INVESTMENT[1]

Per cent.

	1951-1955	1956-1960	1961-1962
Private savings	72.6	75.7	67.7
Net capital supply to private sector[2]	27.4	24.3	32.3
Private gross investment	100.0	100.0	100.0

1. Including government enterprises.
2. In excess of private monetary savings.

Source: Norwegian submission to O.E.C.D.

40. Monetary conditions and the expansion of bank credit have been influenced by two sets of instruments:

a) government financial policy, including the budget, the state banks' lending activities, and government borrowing;

b) the system of credit agreements, including provisions concerning the banks' purchases of government bonds.

41. Apart from the increase in bank rate from 2 1/2 to 3 1/2 per cent in 1955, discount rate policy has not been used for two major reasons. First, the significance of bank rate itself is very limited since, traditionally, the banks do not borrow from the Central Bank. Second, a change in bank rate is by convention at once followed by similar changes in most other interest rates, and it affects rates in many existing loan contracts, thus exerting an effect which goes far beyond its role as a regulator of the money market. But although the bank rate has remained unchanged, most rates have risen gradually since the early 1950's; the yield on long-term government bonds, for example, has risen from 2 1/2 per cent to the present rate of about 5 per cent, influenced by changes in monetary conditions. The rise in the bond rates has, however, been limited by the authorities' direct control over capital market issues.

The Composition of Investment

42. A striking feature of the Norwegian investment programme has been the high priority given to shipping, hydro-electric power plants and energy-intensive industries such as chemicals, steel, aluminium, nickel and copper. These are all sectors where Norway enjoys a competitive advantage. The need for their rapid expansion has been intensified by the fact that the expansion of some of the traditional export industries (whaling, fisheries and forestry) has been hampered by limitations of the basic natural reserves involved. The structural change that has taken place in industrial production in the post-war period is illustrated by Table 4.

TABLE 4. COMPOSITION OF INDUSTRIAL PRODUCTION

Annual rate of growth, per cent.

	1950-1955	1955-1960	1960-1962
Total industrial production	5.9	5.2	4.4
of which:			
Food manufacturing	3.2	3.5	2.5
Wood processing	7.7	4.4	-1.1
Engineering	7.4	5.4	7.8
Chemical industries	7.7	5.9	6.9
Basic metal industries	9.3	11.6	3.1
Electricity production	5.2	6.9	10.3

Source: Statistisk Månedshefte.

43. The composition of investment has mainly been influenced by taxation, credit policy and direct regulations. Up to 1957 the Government was authorised to permit higher depreciation allowances

to stimulate investment in particular sectors, and used this instrument to encourage investment in certain export industries.

44. The high rate of public savings, combined with the system of State Banks, has had an important influence on the composition of investment. About two-fifths of the increase in total bank credit is provided by these banks; for long-term lending the share is even higher. In recent years, about two-thirds of residential construction and more than one-third of the financial requirements of agriculture, forestry and fisheries have been financed by the State Banks. Their lending for industrial purposes has increased significantly in the last few years. In the case of hydro-electric power, practically all projects have been developed by the public sector, and this has given the authorities a strong influence on the development of power-consuming industries.

TABLE 5. STATE BANK LENDING (30th JUNE, 1962)

	PERCENTAGE DISTRIBUTION OF STATE BANK LOANS	STATE BANK LOANS AS A PERCENTAGE OF TOTAL BANK LOANS[1]
Residential construction	74	59[2]
Agriculture and forestry	11	35
Industry	4	10
Fisheries	4	49
Other	7	7
Total	100	33

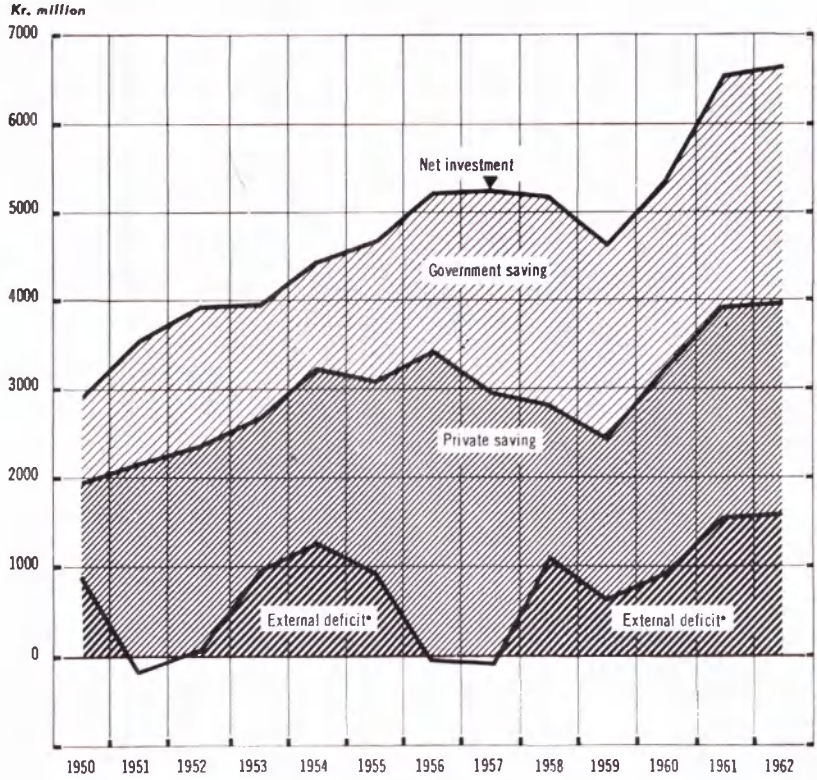
1. Saving banks, commercial banks, state banks.
2. Based on statistics including commercial and savings banks lending for office and commercial buildings.

45. Practically all import controls have been abolished. The only direct regulations of any importance still in effect are building controls. But their main use today is to seek to prevent an excessive increase in building starts, and to influence the seasonal and regional pattern of construction activity, rather than to obtain any specific distribution as between sectors.

46. The long-term programme for 1962-1965 aims at a further large increase in hydro-electric power plants and energy-intensive industries. But recent discussion in Norway has pointed out that two of the conditions which up to now have motivated the rapid development of these industries have changed somewhat. First, the growth of the labour force is rising from an annual rate of 3,000 in the 1950's to almost 10,000 in the 1960's. Second, with a fall in the

national savings ratio resulting from the decline in prices for some of Norway's major exports such as base metals, pulp and paper, and shipping services, the ability to finance a high rate of investment has been adversely affected. While no very marked change in investment policy is advocated, it is argued that these changing trends point to the need for somewhat more emphasis than previously on more labour-intensive industries.

Diagram 2. INVESTMENT, SAVINGS AND THE BALANCE OF PAYMENTS



* Current account.

Source: Norwegian Submission to O.E.C.D.

The Location of Investment

47. The authorities have taken certain steps to influence the location of investment, mainly to encourage industrialisation in the

less-developed regions, notably Northern Norway. The main instruments used for this purpose have been tax benefits, the establishment of state enterprises, and measures to increase the supply of capital in these regions.

48. New tax measures were taken in 1961 to encourage investment in the less-developed districts. With Government approval in individual cases, private firms may establish tax-exempt funds to be used for industrial investment in these districts. Special tax concessions can now be granted to influence the location of industry in other areas as well, and not, as previously, in Northern Norway only.

49. Government investment in infrastructure is used to influence the location of investment. And some state enterprises, notably in the primary metal industries, have been set up in less-developed districts. But the nationalised sector is still relatively modest, accounting for only about 6 per cent of employment and 8 per cent of the value added of total industry, even though the public sector is responsible for about two-thirds of output of hydro-electricity.

50. In 1961, the Regional Development Fund was established, replacing the earlier development fund for Northern Norway. The new fund is designed to encourage expansion in districts with little industry and where the labour force is not fully employed. For this purpose the fund can extend credits and guarantees up to a total of N.Kr. 500 million.

51. As a result of Government action and other factors, the expansion of industrial production in some of the less-developed districts, notably Northern Norway, has been much faster than in the country as a whole. Northern Norway's share in total industrial production (value added) rose from 2.1 per cent in 1951 to 5.7 per cent in 1960.

B. Stabilisation Policy

52. With the generally expansionary policy pursued throughout the post-war period, there has been little need for special measures to stimulate activity; domestic demand has tended fairly persistently to be too high rather than too low. Nevertheless, some cyclical slack has at times been felt, particularly in 1958, and counteracting measures had to be taken.

1958 *Recession*

53. Exports (excluding ships) levelled off towards the end of 1957, fell by 5-6 per cent in 1958, but resumed a rising trend in the last quarter. Inventory accumulation in 1957 was replaced by decumu-

lation in 1958, a shift representing almost 2 per cent of GNP. Private fixed investment (excluding ships) also fell; investment in ships rose sharply because of contracts placed in previous years.

54. The measures taken to stimulate activity included:

a) Frozen funds of about N.Kr. 300 million (about 1 per cent of GNP) were released in September 1958;[1]

b) The building quotas allocated to local authorities, and the State Banks' lending budgets, were increased in the summer;

c) The credit agreements made earlier with the commercial and savings banks were modified to enable them to finance inventory accumulation and export credits;

d) The 1958-59 budget adopted by the Storting in the middle of 1958 aimed at some relaxation of fiscal restraints; it included extraordinary expenditure amounting to N.Kr. 110 million on public works.

55. Action to stimulate activity seems to have been rather modest in scope and taken at a relatively late stage. Most of the measures aimed at a selective rather than a general impact; in fact, both fiscal and monetary policies during most of 1958 were more restrictive than in 1957. The pay-as-you-earn system, taking effect in 1957 and leading to a strong increase in taxable incomes, played an important role in this connection. The cautious attitude of the authorities can largely be explained by balance of payments considerations. At the beginning of 1958 the general expectation seemed to be that the slackening of activity in North America and Europe would have a stronger impact on the balance of payments than on the level of activity. A large current external deficit was expected in 1958 and the foreign exchange reserves were relatively low; the internal economy was still marked by strong pressure in many sectors and suggested that output and employment would be well maintained.

56. In fact, the real gross national product showed little change between 1957 and 1958, partly for non-cyclical reasons; both the herring and the whale catches were much lower than in 1957. Unemployment rose to 2-3 per cent for 1958 as a whole, but was higher in the winter because of seasonal influences.

The 1960-1961 Boom

57. Economic activity revived in 1959 and expanded strongly in 1960 and 1961, with an increase in the real gross national product

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1. The funds derived partly from a special tax in the immediate post-war years and partly from tax exempt investment reserves.

of 5 per cent a year. Strong pressure on resources developed in 1961 and both wages and prices rose strongly.

58. The expansion in 1959 and 1960, led by an increase in exports, was not counteracted by fiscal policy, nor did credit policy exert any very considerable restrictive influence. The central government budget showed a smaller surplus in terms of GNP in 1959 and 1960 than in 1958, and monetary policy permitted a rather strong expansion of bank credit in these two years. Since productive capacity was growing fast and there was some under-utilisation of resources to take up, no very considerable demand pressure developed until after the middle of 1960.

TABLE 6. CENTRAL GOVERNMENT BUDGET[1]

SURPLUS ON CURRENT AND INVESTMENT ACCOUNT

In per cent of GNP.

1957	4,0	1959	3.0	1961	3.2
1958	4.0	1960	2.7	1962	2.8

1. Including social insurance.

Source: Economic Survey 1962 published by Central Bureau of Statistics, Oslo 1963.

59. Budget policy was tightened somewhat in 1961; and following discussions in the Joint Consultation Council in February 1961, the banks and insurance companies were requested to restrict credit expansion. But bank advances rose sharply in the first half of the year. An additional agreement was therefore reached in July; the commercial and savings banks were to reduce their loans in the second half of the year to a certain specified level and, together with the insurance companies, increase their holdings of Treasury and Government-guaranteed bonds. These objectives were on the whole reached. But the agreements did not cover loans obtained from abroad, and these continued to expand until the middle of 1962 when they, also, were included in the credit agreement.

Current Trends

60. At the beginning of 1962 demand was rising fast in Norway, in contrast to many other countries, the labour market was strained and the balance of payments was in large deficit on current account. Credit policy was tightened in the course of the year and commercial bank advances rose much more slowly than earlier; since the credit agreements were extended to cover borrowing from abroad, the movement of bank credit has been very much in line with the provisions of the agreements. But the authorities felt that no very consi-

derable change in budget policy was required. The budgetary surplus on current and investment account was somewhat lower than in 1961.

61. Investment demand continued to rise rather fast, but the expansion of other types of domestic demand slowed down; in particular, tighter credit conditions had a quick effect on inventory demand which weakened considerably. As a result the pressure on resources eased. The increase in real output (3.4 per cent) was much smaller than in the two preceding years. But this was partly due to accidental factors related to output in agriculture, fishery and whaling. In the rest of the economy the expansion was roughly in line with the growth of capacity (4 per cent) even though some slack developed in the export industries.

TABLE 7. NATIONAL BUDGET ESTIMATES 1963

Change in volume from previous year, per cent.

	1962	1963
Private consumption	2.9	3
Civilian public consumption	7.2	5
Defence	6.5	5-6
Fixed asset formation	7.6	2-3
of which:		
Building and construction	6.6	4
Machinery and equipment	12.1	1-2
Ships	3.5	2
Exports	5.4	7
Total demand	4.2	4-5
Covered by:		
Imports of goods	8.5	2-3
Imports of ships	-9.4	17
Gross national product	3.4	4

Source: Government report no. 60, 1962-63, on the National Budget 1963.

62. The expansion is likely to continue in 1963. The Norwegian authorities expect an increase in the real gross national product of 4 per cent. A recent survey suggests that industrial fixed asset formation will remain high, and public current and capital expenditure will continue to increase relatively fast, in line with the long-term programme. Private consumption is likely to rise by about 3 per cent. The incomes settlement referred to in paragraph 30 seems to be in line with this forecast.

TABLE 8. BALANCE OF PAYMENTS,[1] CURRENT ACCOUNT

$ *million.*

	1960	1961	1962
Exports of commodities[2] (f.o.b.)	844	873	926
Imports of commodities[2] (c.i.f.)	1,263	1,331	1,427
Trade balance, excluding ships	—419	—458	—501
Net ship imports	165	236	194
Trade balance, including ships	—584	—694	—695
Net freight earnings	430	450	445
Other current transactions	29	34	36
Current balance	—125	—210	—214
Current balance, excluding imports of ships financed abroad	—114	— 45	—142

1. According to Nowegian definitions. The main differences from the O.E.C.D. definitions are that imports are registered c.i.f. and that the shipping items are shown net and separately.
2. Excluding ships.

Source: Statistisk Månedshefte.

63. The authorities expect another large current external deficit in 1963, influenced by a deterioration of the terms of trade, high imports of ships and weak foreign demand for important exports. The greater part of the deficit is likely to be covered by long-term capital imports, but some decline in the foreign exchange reserves

TABLE 9. BALANCE OF PAYMENTS, CAPITAL TRANSACTIONS

$ *million.*

	1960	1961	1962
Deficit on current balance	125	210	214
Redemption of debt	42	42	46
Deficit before borrowing	167	252	260
Capital inflow	213	285	225
of which:			
Public borrowing	52	40	42
Borrowing on ships, net	11	165	72
Other known borrowing	118	49	45
Errors and omissions	32	31	66
Increase in foreign exchange holdings	45	33	—35

Source: Statistisk Månedshefte.

cannot be excluded; in the first four months of the year, however, the reserves rose by $ 28 million because of drawings on loans raised abroad. At the end of April the official reserves amounted to about $ 300 million, representing 2 to 3 months imports at the current rate.

64. The current external deficit incurred in 1962 and likely for 1963, amounts to about 3.5 per cent of GNP — much larger than envisaged in the long-term programme. It is closely related to the decline in the savings rate resulting from less favourable export conditions and to the maintenance of expanding domestic demand. Some types of home demand — investment in ships and defence expenditure — are rising faster than envisaged in the long-term programme. The authorities have permitted a large current external deficit to develop because the inflow of foreign capital has been higher than expected in the long-term programme. But both credit and fiscal policies are aimed at preventing a further rise in the foreign deficit. The credit agreement for 1963 entails a smaller increase in bank credit than in 1962, and the budget aims at about the same surplus on current and investment account as last year.

IV. CONCLUSIONS

65. Economic planning has become a permanent feature of economic policy in Norway. The work of preparing long-term plans and annual national budgets has provided the authorities with a more systematic basis for policy-making than previously existed, and has led them to formulate both long and short-term policies more explicitly than in many countries. This has been accompanied by regular discussion and re-consideration of policies and objectives, and a growing appreciation by the different sectors of the community of where the national economic interest lies. But the Norwegian authorities feel that there is a need for better planning techniques and closer cooperation between the different groups of the economy. The Planning Council now under consideration may play an important role in this context.

66. The authorities have been successful in establishing a structure of fiscal and monetary policies consistent with their long-term objectives. The high rate of savings maintained on government account to provide room for fixed asset formation, and the various instruments — including the state banks — used to influence the direction of investment, have been essential elements in Norway's growth policy. The rate of growth of productivity since the war has not been much faster than that of European O.E.C.D. countries combined. But a high level of activity, with very low unemployment, has been maintained throughout.

67. Although there has been no very marked cyclical fluctuation in activity, contra-cyclical demand management policies have on occasions not been fully adequate, notably in 1958; in that year fiscal and monetary measures of an expansive character were more than counteracted by a large unforeseen increase in government receipts following the introduction of the pay-as-you-earn tax system. And strong pressure on resources developed in the subsequent boom, especially in 1961, mainly because the monetary restrictions turned out to be insufficient. In 1962 and 1963 to date, however, with a weakening of demand for important Norwegian exports, the expansion of domestic demand and output has been well maintained. But the balance of payments deficit is relatively large and its size is a matter of concern to the Norwegian authorities.

68. Of the policy instruments developed in Norway, two may be singled out as being of particular interest:

a) The system of credit agreements used to regulate the lending activities of the credit institutions has been improved and now seems to be well established. While there is still scope for further refinement of this weapon, the agreements seem to constitute an efficient method of influencing the movement of bank credit;

b) Progress has been made towards a more efficient incomes policy. In particular, the coordination achieved during the recent wage and income settlements, and the establishment of regular meetings between representatives of the authorities and the major private interests, should constitute a valuable basis for further advance.

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STATISTICAL ANNEX

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Table 1. GROSS NATIONAL PRODUCT AND EXPENDITURE

1954 prices.

	N. KR. MILLION					PERCENTAGE DISTRIBUTION					PERCENTAGE CHANGE			
	1950	1955	1960	1961	1962	1950	1955	1960	1961	1962	1950-1955[1]	1955 1960[1]	1960-1961	1961-1962
1. Private consumption	12,560	14,160	16,400	17,475	17,963	66	62	62	61	61	2.4	3.0	6.6	2.8
a) Durables	850	1,268	1,770	2,060	2,090	5	5	7	7	7	7.7	6.9	16.4	1.5
b) Other	11,710	12,892	14,636	15,415	15,873	61	57	55	54	54	2.1	2.4	5.3	3.0
2. Public consumption	2,181	2,998	3,652	3,830	4,039	11	13	13	13	14	6.7	4.0	4.9	5.5
a) Defence	422	837	836	862	920	2	4	3	3	3	14.7	0.0	3.1	6.7
b) Civil	1,759	2,161	2,816	2,968	3,119	9	9	10	10	11	4.2	5.4	5.4	5.1
3. Gross domestic fixed asset form.	5,487	6,993	7,255	8,203	8,858	29	31	27	29	30	5.1	0.5	13.1	8.0
a) Residential construction	928	1,191	1,052	1,117	1,181	5	5	4	4	4	5.1	–2.3	6.2	5.7
b) Other construction	1,691	1,878	2,194	2,297	2,486	9	8	8	8	8	2.3	3.2	4.7	8.2
c) Transport equipment	1,857	2,315	1,845	2,453	2,515	10	10	8	9	9	4.7	–3.9	33.0	2.5
d) Other equipment	1,011	1,609	2,164	2,336	2,676	5	7	7	8	9	9.0	6.0	7.9	14.6
4. Change in stocks	270	72	452	507	31	1	0	2	2	0	.	.	.	.
5. Exports of goods and services.	6,805	9,237	12,991	13,852	14,606	35	40	49	49	50	6.3	7.1	6.6	5.4
6. Imports of goods and services.	8,129	10,619	14,007	15,379	16,186	42	46	52	54	55	5.5	5.7	9.8	5.2
7. Gross National Product at market prices	19,174	22,841	26,749	28,488	29,311	100	100	100	100	100	3.5	3.2	6.5	2.8
8. Gross National Product at factor cost	17,271	20,651	24,181	25,899	26,497	100	100	100	100	100	3.6	3.2	7.1	2.3
a) Agriculture, forestry & fishing	2,726	2,678	2,780	2,904	2,586	16	13	12	11	10	– 0.4	0.7	4.5	–11.0
b) Manufacturing, mining & public utilities	5,355	6,677	7,994	8,599	8,909	31	33	34	33	34	4.6	3.6	7.6	3.6
c) Construction	1,418	1,613	1,635	1,708	1,577	8	8	6	7	6	2.4	0.0	4.5	– 7.7
d) Other	7,772	9,683	11,772	12,688	13,425	45	46	48	49	50	4.4	4.0	7.8	5.8

1. Annual Average.

Source: Norway's submission to the O.E.C.D.

TABLE II. COMPOSITION OF GROSS FIXED ASSET FORMATION

Percentage distribution (current prices).

	1950	1955	1960	1962
Agriculture, forestry and fishing	9.7	9.5	9.0	8.8
Mining and quarrying	1.2	0.9	1.4	1.4
Manufacturing	18.5	15.0	17.4	20.1
Transportation and communication	30.8	30.2	25.3	24.7
Dwellings	17.1	17.3	14.5	14.2
Other	22.7	27.1	32.4	30.8
Total investment	100.0	100.0	100.0	100.0
Total investment in per cent of G.N.P.	27.4	29.8	27.5	30.0

Source: Norwegian submission to the O.E.C.D.

TABLE III. NATIONAL PRODUCT AND EXPENDITURE 1960-1962

	PERCENTAGE CHANGE FROM PREVIOUS YEAR						USE OF GROSS NATIONAL PRODUCT IN 1962	
	VOLUME			PRICES				
	1960	1961	1962	1960	1961	1962	*N.Kr. million*	*Per cent*
1. Private consumption	6.3	6.5	2.8	0.8	1.2	4.2	21,927	59
a) Durables	22.8	16.4	1.5	0.2	3.0	0.9	2,302	6
b) Other	4.6	5.3	3.0	1.0	1.1	4.6	19,625	53
2. Public consumption	3.6	4.9	5.5	1.5	1.8	8.1	5,646	15
a) Defence	— 3.8	3.1	6.7	3.2	4.7	6.9	1,266	3
b) Civil	6.0	5.4	5.1	0.9	1.0	8.5	4,380	12
3. Gross fixed capital formation	1.2	13.1	8.0	1.6	1.7	2.2	11,115	30
a) Residential construction	0.6	6.2	5.7	— 1.8	4.9	5.4	1,581	4
b) Other construction	3.1	4.7	8.2	2.7	3.8	6.4	3,668	10
c) Transport equipment	— 20.3	33.0	2.5	3.3	— 3.5	— 4.3	2,805	7
d) Other equipment	28.9	7.9	14.6	— 1.1	3.8	2.5	3,061	8
4. Change in stocks	.	.	.	.	.	.	— 75	.
5. Exports of goods and services	9.4	6.6	5.4	— 1.9	— 1.7	— 1.3	14,805	40
6. Imports of goods and services	11.0	9.8	5.2	— 1.4	— 1.4	— 1.5	16,417	44
7. Gross National Product at market prices	5.9	6.5	2.9	0.9	1.6	4.4	37,001	100

Source: Norway's submissions to the O.E.C.D.

TABLE IV. PRODUCTION, EMPLOYMENT AND OTHER BUSINESS INDICATORS

	1960				1961				1962				1963
	1ST QTR.	2ND QTR.	3RD QTR.	4TH QTR.	1ST QTR.	2ND QTR.	3RD QTR.	4TH QTR.	1ST QTR.	2ND QTR.	3RD QTR.	4TH QTR.	1ST QTR.
1. INDUSTRIAL PRODUCTION:													
a) Total, seasonally adjusted (1958=100)	112	116	117	121	121	122	126	129	127	129	131	132	130
b) Export industries, unadjusted (*Corresponding quarter* 1958=100)	118	117	124	117	119	124	131	120	119	128	134	124	122
c) Home industries, unadjusted (*Corresponding quarter* 1958=100)	112	117	118	120	120	126	127	130	131	131	132	133	143
i) Capital goods unadjusted (*Corresponding quarter* 1958=100)	110	114	116	120	122	123	127	131	134	130	131	134	133
ii) Consumer goods unadjusted (*Corresponding quarter* 1958=100)	114	121	120	120	118	129	128	129	127	132	133	133	133
d) Iron and steel works, unadjusted (*Corresponding quarter* 1958=100)	127	128	133	125	131	134	139	134	137	136	137	137	137
e) Engineering, unadjusted (*Corresponding quarter* 1958=100)	112	116	118	131	130	130	132	139	140	137	142	146	145
f) Wood-processing industry, unadjusted (*Corresponding quarter* 1958=100)	118	124	121	119	122	133	127	122	121	121	121	118	121
g) Chemical industry, unadjusted (*Corresponding quarter* 1958=100)	116	121	121	114	129	151	143	138	133	165	166	149	154
h) Textile industry, unadjusted (*Corresponding quarter* 1958=100)	127	131	115	115	125	136	128	122	127	134	123	117	132
i) Clothing and shoe industry, unadjusted (*Corresponding quarter* 1958=100)	120	125	125	121	113	129	123	120	121	121	125	122	119
2. DWELLING UNITS STARTED (*Thousands*)	3.8	7.8	8.5	7.7	5.3	8.0	8.4	7.2	4.7	8.0	9.2	7.7	. .
3. MANPOWER:													
a) Employed wage-earners (*Thousands*)	1,029	1,032	1,051	1,045	1,045	1,053	1,069	1,067	1,062	1,065	1,082	1,074	1,060
b) Unemployed, seasonally adjusted (*Thousands*)	15.9	16.8	17.2	18.6	12.7	11.8	13.0	14.1	12.7	15.8	15.7	18.0	18.0
c) Jobs vacant, seasonally adjusted (*Thousands*)	24.9	22.9	23.6	22.7	23.2	24.3	23.8	22.7	22.1	22.8	23.0	22.8	22.3
d) Registered unemployed[1] (*Per cent*)	2.8	1.2	0.7	2.0	2.3	0.8	0.4	1.5	2.1	1.1	0.6	1.9	3.0
4. VALUE OF ORDERS IN METAL SECTOR[2] (1958=100):													
a) New orders	144	142	120	156	159	158	130	215	167	160	142	184	160
b) Total order stock, end of period	151	157	156	151	156	163	170	199	210	210	210	201	201
5. STOCKS IN MANUFACTURING AND WHOLESALE INDUSTRIES (1958=100):													
a) Industry's own products	98	103	106	100	104	111	118	115	120	131	134	130	137
b) Raw materials	86	96	97	96	92	105	112	106	96	104	112	108	100
c) Wholesale trade	106	102	109	111	113	109	116	117	111	110	110	122	113
6. TURNOVER IN RETAIL TRADE (*Corresponding quarter* 1958=100)	112	115	116	114	123	124	125	122	132	134	135	135	140

1. Registered wholly unemployed as per cent of total employees.
2. Excluding shipyards.

Source: O.E.C.D. Statistical Bulletins, Statistisk Månedshefte.

Table V. THE LIQUIDITY EFFECT OF FISCAL[1] AND MONETARY POLICY

N. Kr. million.

	1957	1958	1959	1960	1961	1962
The Government:						
1. Surplus before lending and borrowing	332	721	364	446	245	287
2. Net of lending and borrowing, out-payment	92	177	79	431	292	392
of which:						
Lending[2]	472	446	546	580	652	663
Borrowing, net	380	269	467	149	360	271
A. Net supply of liquidity from the Government	-240	-544	-285	- 15	47	105
B. Central Bank, net lending	-75	64	38	16	49	4
C. Net supply of liquidity through fiscal and monetary policy (A + B)	-315	-480	-247	1	96	109
D. Inflow of foreign exchange to the Central Bank[3]	275	415	505	144	110	79
E. Change in liquid holdings of the banks and the private sector[4] (C + D)	-40	-65	258	145	206	188

1. Cash figures, domestic transactions — excluding foreign borrowing and transfers — including extrabudgetary funds.
2. Lending to the State Banks.
3. Through transactions with the banks and the private sector, not the Government.
4. Including statistical discrepancy.

Source: Statistisk Månedshefte

Table VI. NET INCREASE IN LOANS FROM CREDIT INSTITUTIONS

N. Kr. millions.

	1957	1958	1959	1960	1961	1962
Private credit institutions.....	636	712	1,122	1,539	1,752	1,539
of which:						
Savings and Commerc. bks.	464	414	777	1,082	1,249	1,015
Other private inst.	172	298	345	457	503	524
State banks	471	443	449	534	619	640
Net increase in total loans	1,107	1,155	1,571	2,073	2,371	2,179

Source: Statistisk Månedshefte.

Table VII. THE FINANCING OF NON-GOVERNMENTAL INVESTMENTS

Per cent.

	1960	1961	1962
Net borrowing from domestic credit institutions, issues of bonds and stocks	49	49	45
Net private borrowing abroad	31	16	31
Other sources of financing[1]	20	35	24
Total = non-government net investment	100	100	100

1. Including savings invested directly.

Source: Statistisk Månedshefte, Norwegian submission to O.E.C.D.

Table VIII. BALANCE OF PAYMENTS, CURRENT TRANSACTIONS[1]

$ million.

	1950	1951	1952	1953	1954	1955	1956	1957	1958	1959	1960	1961	1962
Exports of commodities[2] (f.o.b.)	398	586	557	517	579	634	740	769	728	787	844	873	926
Imports of commodities[2] (c.i.f.)	572	767	803	800	857	902	1,006	1,075	995	1,040	1,263	1,331	1,427
Trade balance, excluding ships	—174	—181	—246	—283	—278	—268	—266	—306	—267	—253	—419	—458	—501
Net ship imports	—102	— 63	— 54	—101	—148	—173	—160	—159	—301	—263	—165	—236	—194
Trade balance, including ships	—276	—244	—300	—384	—426	—441	—426	—465	—568	—516	—584	—694	—695
Net freight earnings	166	296	294	239	235	297	420	473	398	413	430	450	445
Other current transactions[3]	— 16	— 27	— 6	7	15	13	5	2	6	6	9	19	24
Current balance[2]	—126	+ 25	— 12	—138	—176	—131	— 1	+ 10	—164	— 97	—145	—225	—226
Current balance, excluding imports of ships financed abroad	—106	9	2	—109	—122	55	44	34	— 65	23	—134	— 60	—154

1. According to Norwegian definitions. The main differences from the O.E.C.D. definitions are that imports are registered c.i.f. and that the shipping items are shown net and separately.

2. Excluding ships.

3. Differs from the figures given in Table 8 in the text as unilateral transfers are excluded.

Source: Statistisk Månedshefte.

Table IX. SHIPPING INCOME AND EXPENDITURE ABROAD

N. Kr. million.

	1951	1952	1953	1954	1955	1956	1957	1958	1959	1960	1961	1962
Net freight earnings[1]	2,090	2,079	1,679	1,625	2,043	2,893	3,238	2,663	2,743	2,842	2,975	2,919
Net borrowing abroad[2]	—218	—223	218	453	559	177	—101	922	873	49	948	764
Net income and borrowing abroad	1,872	1,856	1,897	2,078	2,602	3,070	3,137	3,585	3,616	2,891	3,923	3,683
Expenditure on imports of ships[3]	453	384	719	1,055	1,238	1,140	1,134	2,150	1,877	1,178	1,686	1,382
Surplus on shipping operations abroad	1,419	1,472	1,178	1,023	1,364	1,930	2,003	1,435	1,739	1,713	2,237	2,301

1. Interest on mortgage loans abroad deducted.
2. Less increase in shipowners exchange holdings abroad.
3. Less export of ships.

Source: Statistisk Månedshefte, Norwegian Ministry of Commerce.

Table X. CENTRAL GOVERNMENT INCOME AND EXPENDITURE

N. Kr. million, current prices.

	1950	1951	1952	1953	1954	1955	1956	1957	1958	1959	1960	1961	1962
1. Current revenue	3,281	4,093	4,701	4,658	4,893	5,239	6,029	7,184	7,254	7,754	8,151	9,054	10,013
Direct taxes	1,191	1,377	1,595	1,697	1,696	1,798	2,055	2,754	2,731	2,913	2,958	3,262	3,812
Indirect taxes	1,829	2,473	2,861	2,698	2,867	3,072	3,503	3,876	3,901	4,116	4,381	4,869	5,191
Other	261	243	245	263	330	369	471	554	622	725	812	923	1,010
2. Current expenditure	2,641	2,985	3,561	3,901	4,127	4,218	4,793	5,499	5,496	6,278	6,670	7,277	8,227
Purchase of goods and services	885	1,157	1,495	1,725	1,834	1,718	1,902	2,049	2,097	2,279	2,357	2,496	2,890
of which:													
Defence	337	544	788	958	1,026	866	915	985	967	1,036	1,029	1,110	1,266
Civil	548	613	707	767	808	852	987	1,064	1,130	1,243	1,328	1,386	1,624
Subsidies	902	896	949	876	850	915	1,051	1,314	1,119	1,091	1,255	1,378	1,314
Interest	141	136	152	144	163	204	253	265	270	300	313	333	361
Current transfers	713	796	965	1,156	1,280	1,381	1,587	1,871	2,010	2,608	2,745	3,070	3,662
3. Net current savings (1—2)	640	1,108	1,140	757	766	1,021	1,236	1,685	1,758	1,476	1,481	1,777	1,786
4. Depreciation and other operating provisions	17	22	24	26	29	30	35	38	40	44	51	54	62
5. Gross savings (3+4)	657	1,130	1,164	783	795	1,051	1,271	1,723	1,798	1,520	1,532	1,831	1,848
6. Gross fixed asset formation	95	102	124	160	179	186	220	246	323	358	398	417	475
7. Surplus on current and fixed investment account (5—6)	562	1,028	1,040	623	616	865	1,051	1,477	1,475	1,162	1,134	1,414	1,373

Source: Norwegian submission to O.E.C.D.

Table XI. WAGES AND PRICES

1958 = 100.

	1960				1961				1962				1963
	1st qtr.	2nd qtr.	3rd qtr.	4th qtr.	1st qtr.	2nd qtr.	3rd qtr.	4th qtr.	1st qtr.	2nd qtr.	3rd qtr.	4th qtr.	1st qtr.
1. Hourly earnings in industry	110	118	111	114	115	123	122	126	127	140	131	134	..
2. Cost of living	102	103	103	103	103	104	105	107	108	109	112	112	114
a) Food	102	102	102	101	101	102	105	107	107	111	114	113	115
3. Wholesale Prices	101	100	100	101	100	101	102	103	103	103	104	104	104
a) Producer goods	101	100	100	101	100	101	102	103	103	102	102	102	101
b) Consumer goods	99	99	97	98	98	99	99	101	101	102	104	104	104
c) Food products	100	100	98	100	99	97	99	102	102	101	103	103	104
4. Building costs (Dwellings in Oslo)	103	103	103	103	104	106	109	110	110	111	112	112	112

Source: O.E.C.D. Statistical Bulletins. Statistisk Månedshefte.

O. E. C. D. PUBLICATIONS
2, rue André-Pascal, Paris (XVIe)
No. 16.273. July 1963

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